

BAD DEBTS

1. Direct Write-Off Method

When a company uses the **direct write-off method**, bad debts are only recognized when it becomes clear that a receivable will not be collected.

Debit: Bad Debt Expense

Credit: Accounts Receivable

Explanation:

The **Bad Debt Expense** account is increased, which reduces net income.

The **Accounts Receivable** account is decreased, as the debt is no longer expected to be collected.

Impact on Income Statement:

- **Bad Debt Expense:**

When a specific debt is written off, the **Bad Debt Expense** is recorded, which reduces the net income. The expense is recorded in the period when the debt is determined to be uncollectible.

Effect: Increases expense, decreasing profitability.

Impact on Balance Sheet:

Accounts Receivable:

The **Accounts Receivable** balance is reduced by the amount of the bad debt because the company no longer expects to collect the amount.

Effect: Decreases the asset balance.

Example:

If a customer owes \$1,000, and the debt is determined to be uncollectible, the journal entry is:

Bad Debt Expense	1,000
Accounts Receivable	1,000

Income Statement: Bad Debt Expense increases by \$1,000, reducing **net income**.

Balance Sheet: Accounts Receivable decreases by \$1,000, reducing **assets**. Retained earnings in equity will also be reduced due to the lower net income.

2. Allowance Method/provision

The **allowance method** is more proactive and involves estimating bad debts in advance. This method affects the accounts differently because it uses a **contra-asset account** (Allowance for Doubtful Accounts) instead of directly reducing Accounts Receivable when bad debts are estimated.

Impact on Income Statement:

- **Bad Debt Expense:**

At the end of each period, you estimate bad debt and record it as an expense. This increases the **Bad Debt Expense** on the income statement, which reduces net income.

Effect: Increases expense, reducing profitability.

Impact on Balance Sheet:

- **Accounts Receivable:**

When you estimate bad debt, **Accounts Receivable** is not directly reduced at this point. The estimated amount is reflected through the **Allowance for Doubtful Accounts**, which is a **contra-asset account**.

The **Allowance for Doubtful Accounts** will reduce the **net accounts receivable** on the balance sheet, showing the adjusted value of the receivables you realistically expect to collect.

Effect: **Accounts Receivable** is **not reduced directly**; instead, the net realizable value of receivables is adjusted.

- **Allowance for Doubtful Accounts:**

This contra-asset account is **increased** when the company estimates bad debts.

Effect: Provides a cushion for potential bad debts, which reduces the value of **Accounts Receivable** on the balance sheet.

Example:

1. **Estimating Bad Debt (e.g., estimating \$5,000):**

Bad Debt Expense 5,000

 Allowance for Doubtful Accounts 5,000

Income Statement: Bad Debt Expense increases by \$5,000, reducing net income.

Balance Sheet: Allowance for Doubtful Accounts increases by \$5,000, reducing **net accounts receivable**.

2. Writing off a Specific Uncollectible Account (e.g., \$1,000):

Allowance for Doubtful Accounts 1,000

 Accounts Receivable 1,000

Income Statement: No additional bad debt expense is recognized at this point because the expense was already recorded when the allowance was established.

Balance Sheet: **Accounts Receivable** decreases by \$1,000, and the **Allowance for Doubtful Accounts** decreases by the same amount.

The net accounts receivable remains the same, as the write-off was already covered by the allowance.

Summary of Effects on Key Accounts:

Account	Direct Write-Off Method	Allowance Method
Bad Debt Expense	Increases when a debt is written off.	Increases when estimating bad debts.
Accounts Receivable	Decreases directly when a debt is written off.	Not reduced directly, but shown as net realizable value after the allowance adjustment.
Allowance for Doubtful Accounts	Not used.	Used as a contra-asset account to estimate bad debts in advance.
Equity (Retained Earnings)	Reduced indirectly by the impact of bad debt expense on net income.	Reduced indirectly by the impact of bad debt expense on net income.

Key Points to Remember:

Direct Write-Off Method: The bad debt expense is recorded only when it becomes clear that a specific account will not be collected. This method can distort financial performance because the expense is not matched with the revenue in the same period.

Allowance Method: Bad debts are estimated in advance, and the **Allowance for Doubtful Accounts** is used to absorb losses from uncollectible accounts. This method follows the **matching principle** more closely because the expense is recognized in the same period as the revenue.